CASH FLOW STATEMENT ANALYSIS: CASH FLOW RATIOS

Learning Outcome

- calculate and interpret free cash flow to the firm, free cash flow to equity, and performance and coverage cash flow ratios

Ratios based on information in statements of cash flows can be used to compare the performance and prospects of different companies in an industry and of different industries. These ratios generally fall into cash flow performance (profitability) ratios and cash flow coverage (solvency) ratios. Exhibit 9 summarizes the calculation and interpretation of some of these ratios.

Exhibit 9:

Cash Flow Ratios

Performance Ratios	Calculation	What It Measures
Cash flow to revenue	CFO ÷ Net revenue	Operating cash generated per dollar of revenue
Cash return on assets	CFO ÷ Average total assets	Operating cash generated per dollar of asset investment
Cash return on equity	CFO ÷ Average shareholders' equity	Operating cash generated per dollar of owner investment
Cash to income	CFO ÷ Operating income	Cash generating ability of operations
Cash flow per share[a]	(CFO – Preferred dividends) ÷ Number of common shares outstanding	Operating cash flow on a per-share basis

Coverage Ratios	Calculation	What It Measures
Debt coverage	CFO ÷ Total debt	Financial risk and financial leverage
Interest coverage[b]	(CFO + Interest paid + Taxes paid) ÷ Interest paid	Ability to meet interest obligations
Reinvestment	CFO ÷ Cash paid for long-term assets	Ability to acquire assets with operating cash flows
Debt payment	CFO ÷ Cash paid for long-term debt repayment	Ability to pay debts with operating cash flows
Dividend payment	CFO ÷ Dividends paid	Ability to pay dividends with operating cash flows
Investing and financing	CFO ÷ Cash outflows for investing and financing activities	Ability to acquire assets, pay debts, and make distributions to owners

Notes:

[a] If the company reports under IFRS and includes total dividends paid as a use of cash in the operating section, total dividends should be added back to CFO as reported and then preferred dividends should be subtracted. Recall that CFO reported under US GAAP and IFRS may differ depending on the treatment of interest and dividends, received and paid.

[b] If the company reports under IFRS and included interest paid as a use of cash in the financing section, then interest paid should not be added back to the numerator.

Rate Your Confidence

1. Andrew Potter is analyzing operating cash flow trends for Microsoft and Apple, which are presented in Exhibits 10 and 11.

Exhibit 10:

Cash Flow from Operating Activities as a Percentage of Total Net Revenue

	2017	2016	2015
Microsoft	43.9%	39.1%	31.7%
Apple Inc.	27.7%	30.5%	34.8%

Exhibit 11:

Cash Flow from Operating Activities as a Percentage of Average Total Assets

	2017	2016	2015
Microsoft	18.2%	18.1%	17.1%
Apple Inc.	18.2%	21.5%	31.1%

What is Potter *most likely* to conclude about the relative operating cash-flow-generating ability of these two companies?

Hide Solution

Solution:

On both measures—operating cash flow divided by revenue and operating cash flow divided by assets—both companies have overall strong results. However, Microsoft has higher cash flow from operating activities as a percentage of revenues in both 2016 and 2017. Further, Microsoft has an increasing trend. While Apple had a higher operating cash flow as a percent of revenue in 2015 compared to Microsoft, it has had a declining trend and was below Microsoft in the two more recent years. Microsoft's operating cash flow relative to assets is the same as Apple's in 2017 and relatively stable with a slight increase since 2015. Apple started the three years with a much stronger ratio but saw a declining trend such that its ratio is now at the same level as Microsoft. We should note that this ratio is heavily influenced by substantial investments in financial instruments that Apple has made over the years due to its strong historic cash flow.

Category
Analyzing Statements of Cash Flows II

Related Questions:
Practice questions related to this topic

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Curriculum on Bloomberg.

{FLDS} FIELD SEARCH

fields for legacy APIs, calcrts, and the Bloomberg Query Language (BQL) in one centralized location. You can combine a security and a mix of keywords to scan all data fields, overrides, and parameter values available to your research and models on the Bloomberg Terminal® and Microsoft Excel." -Bloomberg

To explore this function, type FLDS into the Bloomberg command line and press Enter or <GO>. Type a security—such as Apple Inc. (or AAPL US Equity)—into the top left amber field. Then type "cash flow" in the amber Enter Query field below the security, and press Enter or <GO>. View the cash flow metrics for the selected firm.

© 2023 Bloomberg L.P.

Please provide feedback on this Bloomberg feature.

Rate Your Confidence

Category

Analyzing Statements of Cash Flows II

Related Questions:

Practice questions related to this topic

Discuss Filter

Discussion

What do you want to discuss... (required)

VA

Why are the ratios here already tested in the previous lesson?

"Ratios and Common-Size Analysis"

Created 4 months ago by Van An Le

1 reply | Last Activity: 4 months ago

Show All replies Reply to this Comment

© 2025 CFA Institute. All Rights Reserved.

Rate Your Confidence

Category

Analyzing Statements of Cash Flows II

Related Questions:

Practice questions related to this topic

Rate Your Confidence

Category

Analyzing Statements of Cash Flows II

Related Questions:

Practice questions related to this topic